

Tokun — Seller Payout Integration Flow (Razorpay Route)

Prepared for: Tokun founder | Scope: How seller payments should flow from buyer to seller, using Razorpay Route |
Status: Design reference, not yet implemented

1. Current State (Before This Change)

Today, buyer payments are collected correctly through Razorpay Checkout, but the money never actually leaves Tokun's account automatically:

- Buyer pays → money settles into Tokun's own Razorpay merchant balance.
- Commission is calculated and `Wallet.availableBalance` is updated — this is a database entry only, no real transfer happens.
- When a seller requests a withdrawal, an admin has to manually transfer money outside the app and type in a UTR number to mark it "Completed".

Gap: There is no automated payout API integrated yet. This does not scale and depends on an admin doing manual bank transfers for every withdrawal.

2. Two Razorpay Products — Why "Route" Was Chosen

Product	What it does	Fits Tokun's model?
Razorpay Route	Splits a single payment automatically between the platform and a seller's "Linked Account" at the time of payment. Supports holding the seller's share (<code>on_hold</code>) and releasing it later.	Yes — matches Tokun's escrow model (hold money until work/order is approved, then release).
RazorpayX Payouts	A general-purpose "send money to any bank account/UPI" API, used for vendor payments, salaries, and manual transfers. No native split/escrow concept — Tokun's own code would have to build that logic itself.	Only as an internal banking tool, not the primary seller-payout mechanism.

3. Why "Linking" a Seller's Account Can't Be Skipped

This is not a Razorpay-specific choice — it is an RBI requirement. Any platform that collects money from a buyer and holds it before passing it to a seller must use a nodal/escrow account structure, so buyer/seller funds are never commingled with the platform's own money. Razorpay Route's "Linked Account" is simply the mechanism that satisfies this rule. Alternative providers (Cashfree Easy Split, PayU) require the same concept under a different name — the requirement doesn't go away by switching providers.

The only way to avoid this entirely is to never hold seller funds at all (pay each seller directly from the buyer, bypassing Tokun) — which breaks the current escrow / buyer-protection model, so it isn't a practical option here.

4. Real Money Flow for a Sale (Example: ₹100 Prompt)

Step 1 — Buyer pays ₹100 via Razorpay Checkout (card/UPI/netbanking).



Step 2 — Razorpay gateway fee (~2% + 18% GST on that fee, ≈2.36%) is deducted from Tokun's settlement automatically. Tokun receives ~₹97.64 into its bank account, not the full ₹100. *This fee is borne by Tokun, invisible to the buyer/seller.*



Step 3 — Route transfer created at the time of the order: e.g. ₹95 marked for the seller's Linked Account, ₹5 stays as Tokun's commission. Transfer can be created with `on_hold: 1` so funds don't release immediately.



Step 4 — Escrow release condition met (buyer approves / dispute window passes / admin releases) → Tokun calls Route's "release" API on that transfer.



Step 5 — Settlement to seller's real bank account, typically within 2 working days of release, per Route's settlement cycle.

Fee reality check: Razorpay's own gateway fee (~2.36%) is not accounted for anywhere in Tokun's current commission math. On a flat 5% commission, this fee alone can eat roughly half the platform's margin on small transactions. Worth revisiting the commission % once Route is live.

5. Seller Onboarding — Individual vs Organization

In Tokun's current schema (`User.js` , `organization.js`), `userType` is `IND` , `ORG` , or `TM` (team member) — this is purely an **app-level access/team structure**, unrelated to Razorpay's KYC categories. No business KYC (PAN/GST/CIN) fields exist today.

IND Individual Seller Flow

- Seller's own PAN
- Aadhaar / Passport (already collected via `KycSubmission`)
- Seller's own personal bank account / UPI
- Maps directly to Razorpay `business_type: "individual"`

ORG Organization Seller Flow — Recommended Simplified Approach

Recommendation: Do not build the full company-KYC flow (GST, CIN, Certificate of Incorporation, separate Stakeholder object) unless a real client explicitly needs payout into a registered company bank account. Instead, treat the **Owner** of the organization as an individual for payout purposes — same flow as an IND seller, just linked at the Organization level instead of the personal level.

- Only the **Owner** completes KYC — **TM** (team members) never need to submit anything to Razorpay. Team member roles/caps are an internal Tokun permission concept, not a legal ownership concept Razorpay cares about.
- One Linked Account per Organization (stored as **razorpayLinkedAccountId** on the **Organization** model, not on individual users), so all team members' prompt sales settle to the same account.
- **Exception:** if the organization is a legally registered Partnership/LLP with more than one real legal partner (not just app "members"), each partner may need KYC under RBI beneficial-ownership rules (~10–25%+ stake threshold). This is rare for Tokun's expected seller base and can be handled as an edge case later.

Critical compliance rule — PAN consistency: Whichever PAN is used for KYC/Linked Account must be the *same* PAN used for TDS deduction under Section 194-O and for GST reporting, and the payout bank account must belong to that same PAN. Mixing a company PAN (for invoicing/TDS) with a payout to the owner's personal bank account (different PAN) creates a mismatch between the seller's Form 26AS and their bank credits — a common source of tax notices. Pick one identity per seller and keep it consistent end-to-end (KYC → TDS reporting → payout account).

6. Changing Payout Details After Onboarding

6.1 Changing Bank Account

1. Seller opens "Payout Settings" in dashboard, sees current account (masked).
2. Re-authentication required (password/OTP) before allowing any change — this step exists specifically to block account-takeover fraud, where an attacker changes payout details to redirect the next payout to themselves.
3. New bank details submitted → backend calls Razorpay's "Update Product Configuration" API on the *same* `linked_account_id` (no need to create a new Linked Account).
4. Razorpay auto-runs a ₹1 penny-drop verification on the new account — normally instant (seconds to a couple of minutes), but can take up to T+3 working days in rare NPCI/bank-side delays.
5. Seller status set to `bank_change_pending` until verification confirms — no new withdrawals processed during this window. Payouts should only trigger off the verification webhook, never assumed "instant".
6. Security notification (email/SMS) sent immediately: "Your payout account was changed — contact support if this wasn't you."
7. Any withdrawal already in-flight at the time of the change completes against the *old* account; only future payouts use the new one.

6.2 Switching Between Bank Account and UPI

Unlike Route settlement (bank-account only), the underlying Fund Account model supports both a bank account and a UPI ID (VPA) attached to the same contact simultaneously — they don't replace each other.

- Adding a UPI ID creates a new, separate Fund Account — the existing bank account is not deleted.
- Seller marks one as "Preferred Payout Method" (a flag stored in Tokun's own database).
- At payout time, the backend simply reads that flag and sends to the matching `fund_account_id` — **no admin approval needed technically.**
- Same fraud-prevention pattern as bank-account changes should still apply: re-auth + notification + a short hold/verification window before the new method becomes active.

6.3 Multiple Saved Bank Accounts (Optional Feature)

Razorpay's Linked Account only has one "active" settlement destination at a time. If Tokun wants to let sellers save multiple bank accounts and switch between them, that list lives entirely in Tokun's own database — only the currently-selected one is ever synced to Razorpay via the Update API.

7. Fee Summary — Who Pays What

Fee	Approx. Rate	Charged When	Who Bears It
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Razorpay payment gateway fee	~2% + 18% GST (≈2.36%)	When buyer pays (Checkout)	Tokun (deducted before settlement to Tokun's bank)
RazorpayX / Payout transfer fee	₹2–₹5 flat per transaction (IMPS/NEFT/UPI; drops at volume)	When money is sent out to seller	Tokun (deducted from Tokun's account balance, seller receives full amount)
Route settlement	Custom / negotiated (contact Razorpay)	Ongoing, per activated Route account	Tokun

8. Recommended Implementation Checklist

1. Contact Razorpay to request Route activation (declare marketplace use-case, confirm business turnover eligibility).
2. Build seller onboarding: one-time KYC gate before a prompt can go *live* (upload can stay open, publish is gated) — reuse existing `KycSubmission` flow for individuals and org owners.
3. Add `razorpayLinkedAccountId` to `User` (for IND) and `Organization` (for ORG) models.
4. Add `payoutStatus` field: `not_started` → `pending` → `activated` / `needs_clarification` ; drive publish-gating and dashboard banners off this.
5. Update `purchaseRoutes.js` order creation to include a `transfers` array with `on_hold: 1` to the seller's Linked Account.
6. Replace the manual-UTR logic in `escrowRelease.service.js` and the admin-approve route in `walletRoutes.js` with a real Route "release transfer" API call.
7. Add webhook handlers for `account.activated` , transfer/settlement events, and bank-change verification results.
8. Build the bank/UPI change flow with re-auth, hold window, and fraud notification as described in Section 6.
9. Revisit the platform commission % to account for the ~2.36% gateway fee that isn't currently modeled.

This document reflects the current Tokun codebase and Razorpay's publicly documented Route/RazorpayX behavior as of early August 2026. Final KYC document lists, fee rates, and API field names should be re-confirmed against Razorpay's live documentation and support team before implementation, since these details can change over time. Tax/TDS guidance here is directional, not a substitute for advice from a qualified CA.